News digest

Greenspan issues new warning over US current account deficit (AFP)

AFP - US Federal Reserve chairman Alan Greenspan said the United States' huge current account deficit cannot be indefinitely financed by foreign countries and investors.

UK Watchdog Turns Up Heat on Banks

LONDON (Reuters) - Britain's financial regulator will step up scrutiny of investment banks' management of conflicts of interest and risk in the wake of a number of high profile cases such as WorldCom, Enron and Parmalat.

An insurer sees the light

Snoopy has left the building. Well, almost. MetLife Inc. , the insurance giant that employs Charlie Brown's dog in ads, is close to completing a deal to sell its State Street Research and Management investment arm to BlackRock Inc. for about $400 million. Everyone involved will be better off for it.

ANZ increases IT spend

A new $100 million retail telling platform, which was completed in the first half of this year, and the growing cost of compliance were the key drivers for the rise according to the bank s 2004 Annual Roadshow presentation.

Japan narrowly escapes recession

New figures show Japan's economy is barely staying out of recession with annual growth of just 0.2 in the third quarter.

Update 8: Ford, GM Set Production Cuts on Sales Drop

Another disappointing sales month at General Motors Corp. and Ford Motor Co. led the nation s two largest automakers to cut planned vehicle production in the fourth quarter, which could hurt profits.